

Weak start to the year

- **Key changes:** We've raised our forecast for Greece's GDP growth in 2026 and 2027 by 0.1ppt to 1.9% in both years, as the signing of the peace treaty between the US and Iran has caused a marked fall in global energy prices. We now expect inflation to fall below the ECB's 2% target in both 2027 and 2028. We've increased our 2026 unemployment rate forecast by 0.5ppts, following a sizeable Q1 spike that we expect to be temporary.
- **Short-term forecast:** After a weak start to the year, we expect growth to bottom out quickly and gain some traction in H2. Inflation should remain considerably above target until Q2 2027, but steady employment growth will allow real personal disposable income to keep rising and support private consumption.
- **What to watch out for:** The durability of the peace treaty between the US and Iran, and geopolitical tensions more broadly, remain the key near-term risks for the economy. The NextGenEU programme ends this year, which could compound the headwinds that Greece already faces.

Table 1: Greece forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	2.1	2.1	2.2	1.9	1.9	1.5
Private consumption	2.4	2.4	1.9	1.3	2.4	1.8
Industrial production	1.9	5.2	2.1	4.1	1.3	2.0
Employment	1.3	1.9	1.5	1.5	0.8	-0.2
Unemployment rate (%)	11.1	10.1	8.9	8.6	7.6	7.5
Government balance (% of GDP)	-1.4	1.3	1.7	0.6	-0.2	-0.5
Gross government debt (% of GDP)	164.8	154.5	146.4	138.4	130.9	125.5
Current a/c balance (% of GDP)	-6.8	-7.2	-5.7	-8.0	-6.3	-5.8
Consumer prices	3.5	2.7	2.5	4.5	1.7	1.5
Bank's deposit rate (% EOP)	4.00	3.00	2.00	2.25	2.00	2.00
10yr govt. bond yield (% EOP)	3.08	3.24	3.48	3.66	3.75	3.85
Exchange rate (US\$ per euro, EOP)	1.11	1.04	1.18	1.17	1.18	1.18

Source: Oxford Economics

Baseline forecast

Recent developments

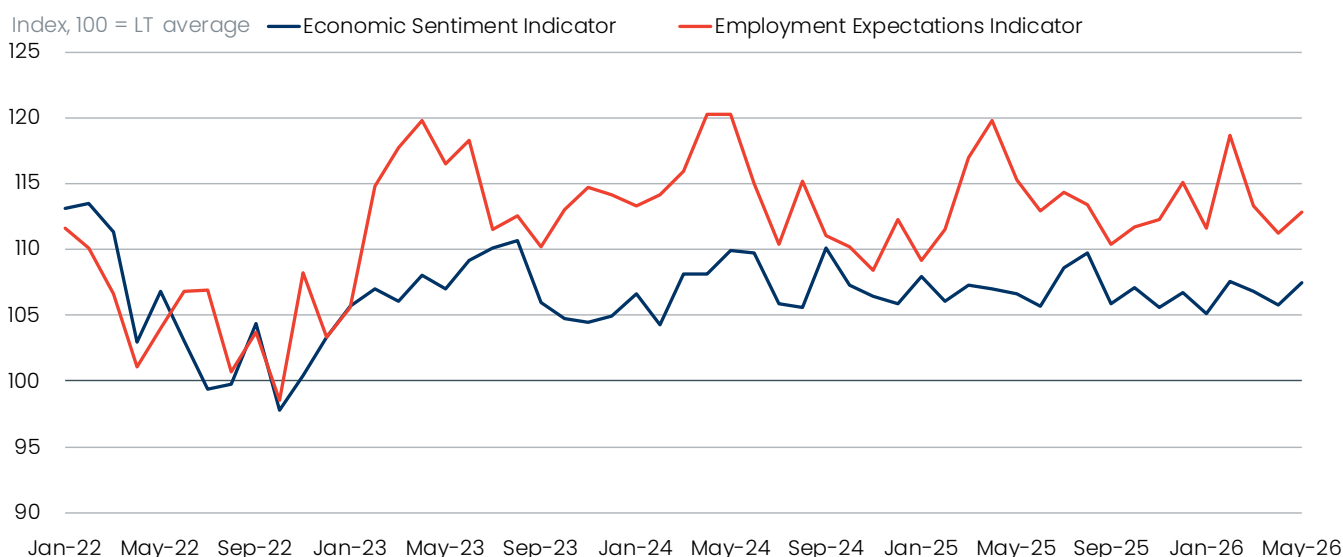
GDP growth was weak in Q1, at 0.2% q/q from 0.7% in the previous quarter, broadly in line with our expectations. Growth came mainly from a rise in government consumption and net exports, while all other demand components – especially fixed investment – dragged on the headline figure. But this isn't a cause for concern. Most of the decline came from housing investment, which collapsed 27.6% q/q, possibly owing to judicial issues, but remained up 15% over the year.

The peace treaty between the US and Iran has prompted a marked fall in global energy prices, which will likely support the macroeconomic outlook and push down inflation. No hard data have yet been published since the treaty was signed. Even so, May confidence data were already turning the corner, despite the lack of positive geopolitical news. The European Commission's Economic Sentiment Indicator (ESI) notched up, supported by all its components, with the sole exception of services.

The labour market saw a major revision of Q1 data, with the unemployment rate estimated at 9.7%, from 8.5% in the previous estimate, which would set the largest percentage increase in unemployment in Greek recorded history. The April unemployment rate was 9.5%. But given the volatility and the frequency of revisions of these data, and the fact that employment expectations remain within the range seen in the past three years, we maintain a sanguine view on the labour market ([Chart 1](#)).

Chart 1: Firms' confidence wasn't hit by the war in the Middle East

Greece: Confidence



Sources: Oxford Economics, Haver Analytics

Short-term forecast

We expect Greece's GDP to grow by 1.9% in 2026 and 2027, 0.1ppt up from the previous release. Despite private consumption being weaker than we were expecting in Q1, the fall in energy prices should support real incomes and boost real consumption.

Policy assumptions

Fiscal policy. Fiscal policy has been more restrictive than the government envisaged, largely because of underspending. We maintain our view that fiscal policy will be slightly expansionary in 2026, albeit resulting in a still solid surplus of 0.6% of GDP. Government debt is falling rapidly and, in 2026, should fall below 140% of GDP for the first time since 2010.

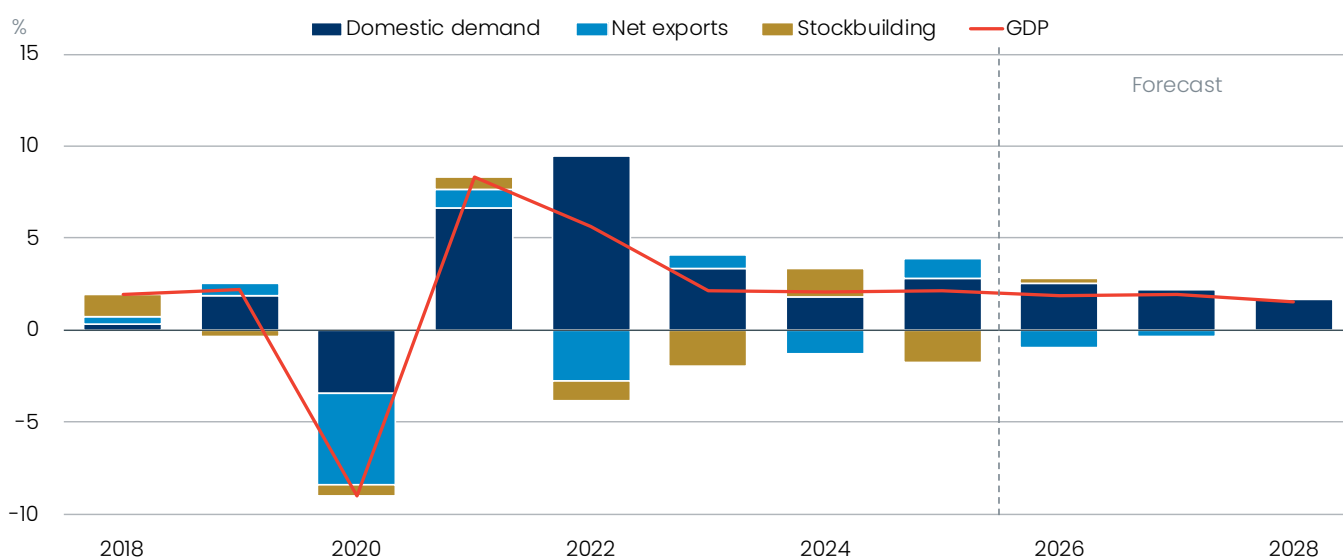
Monetary policy. The ECB raised its deposit rate by 25bps to 2.25% at its June meeting. With the conflict in Iran drawing to a close and energy prices falling sharply, we now don't expect further hikes. We look for the policy rate to be normalised to 2% in 2027.

Key drivers of short-term forecast

Domestic demand will drive growth. Private consumption should continue to grow healthily as the robust labour market will partly shield real disposable income from inflation. We expect net exports to be a major drag in 2026, with a negative contribution of 1.3ppts, although not as negative as in 2022. In 2027, the end of the NextGenEU fund disbursements will weigh on the investment outlook, compounded by the government's difficulty in meeting its own investment targets.

Chart 2: Domestic demand will drive growth

Greece: Contribution to GDP growth

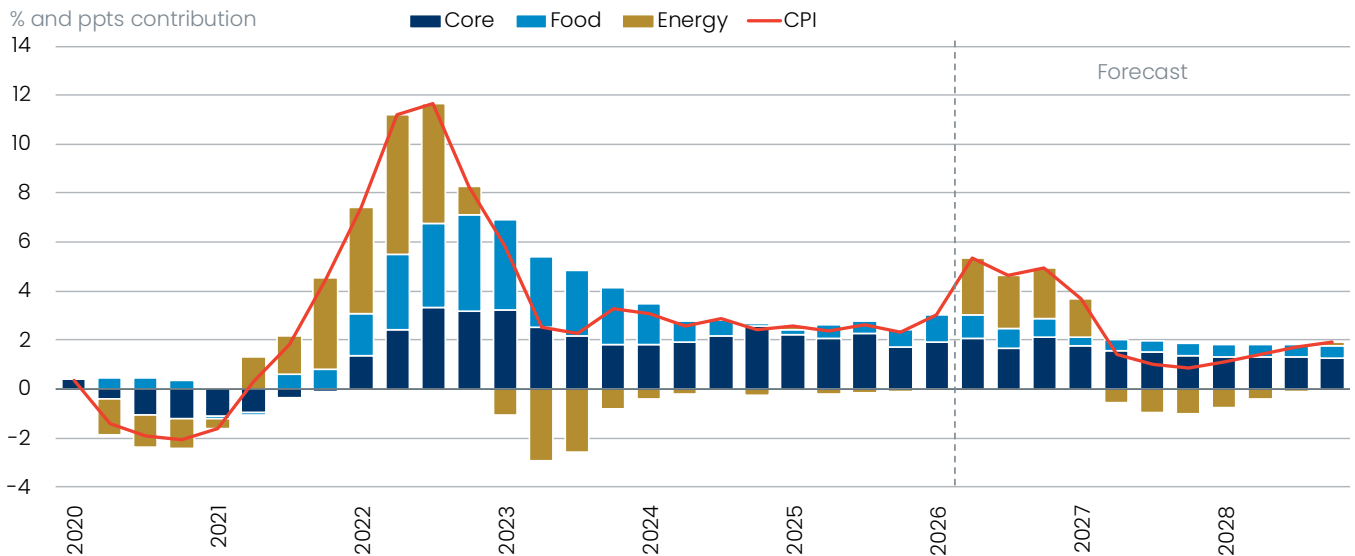


Sources: Oxford Economics, Haver Analytics

Inflation is still close to a three-year high. Headline inflation, according to the domestic definition, notched 0.3ppts down in May to 5.2% y/y. Energy prices are still the component pushing up inflation the most. But short-term inflation expectations from ESI surveys pointed towards persistent, broad-based inflationary pressures; thus, we expect spillovers to show up in other inflation components soon. We expect inflation, as per the domestic definition, to average 4.5% in 2026. Energy prices will be the primary driver, growing in the double-digits, before falling significantly in 2027. However, the effect on core components will be more persistent, and we anticipate inflation staying above the 2% target until 2028. Food inflation will also continue to exert upward pressure on the headline number. We project an uptick in energy inflation by Q1 2028, by which time the EU's Emissions Trading System 2 should be in place. We estimate this will push energy prices up by about 2.1%, with an overall CPI impact of 0.2%–0.3%.

Chart 3: The inflation surge should reverse next year

Greece: Headline inflation breakdown

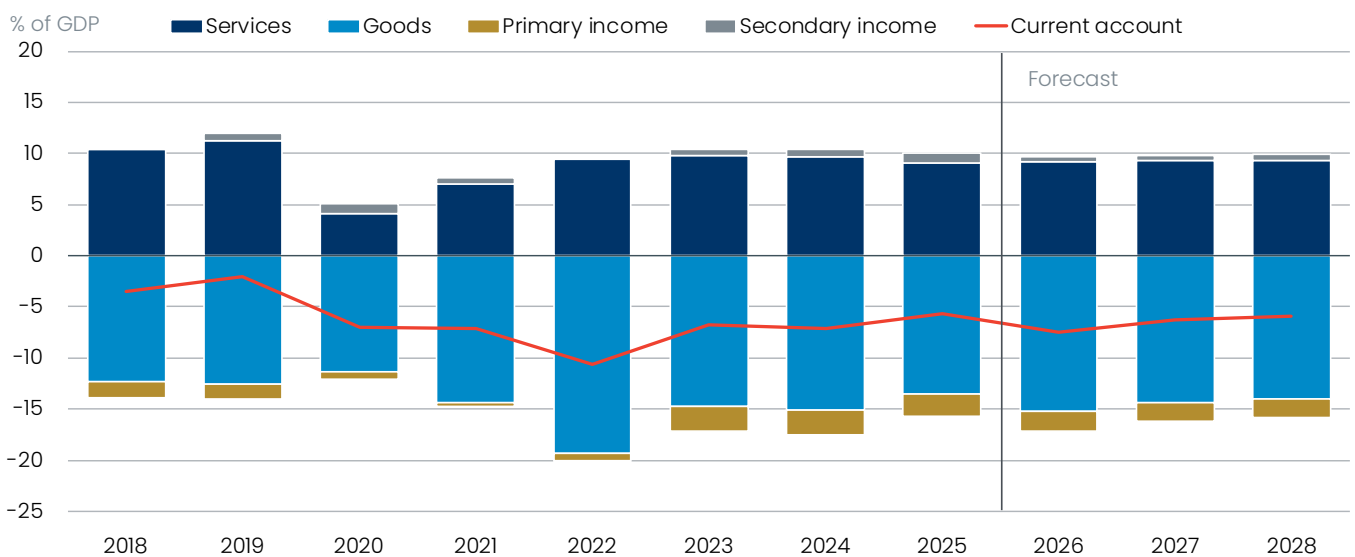


Sources: Oxford Economics, Haver Analytics

The current account is still deep in the red. The current account deficit decreased in 2025, albeit to a still-elevated 5.7% of GDP. But the energy shock will likely take its toll – we expect the deficit to rise to 8.1% in 2026, down from the 5% we expected before the war. Most of this will be driven by a higher goods deficit, which we now expect to be above 15%. The services balance should remain broadly unchanged from 2025, as a partial redirection of tourism flows from the Middle East to Greece should somewhat offset the fall in global demand. We expect the Greek current account deficit to remain in negative territory over the coming years.

Chart 4: The current account will remain in deep deficit

Greece: Current account balance



Sources: Oxford Economics, Haver Analytics

What to watch out for

Defence spending. Greece has long been one of the few European countries to meet the NATO target of military expenditure at 2% of GDP. Based on government announcements, we think this will increase in the coming years, as the government has ample fiscal space to support additional spending. However, given the defence sector's relatively small size, the impact on the broader Greek economy will be limited.

Fiscal consolidation. The Greek government is maintaining sizeable fiscal surpluses to reduce debt, adding downside risk to our government debt forecast. However, as much of the recent overperformance can be attributed to underspending, the risks now tilt towards an excessively restrictive policy stance.

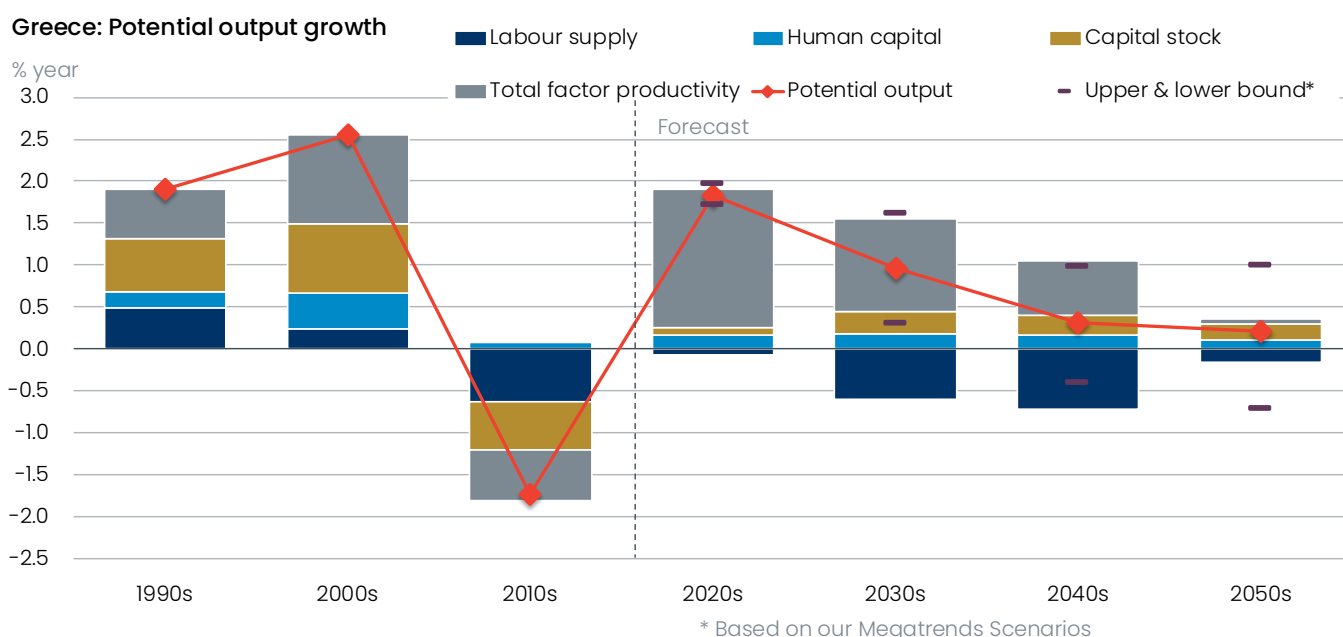
NextGenEU. The NextGenEU programme will see its last payment in Q3. In recent years, Greece has benefited greatly from the inflows, with the boost to private investment likely prompted by Resilience and Recovery Fund loans. On the other hand, government consumption and investment have barely kept pace with GDP growth, repeatedly missing official targets. We expect the end of the programme to weigh on growth.

Next elections. Greece is set to hold parliamentary elections in 2027. The incumbent centre-right New Democracy party is polling at a multi-year low of around 30% and clearly below its 2023 election result, but still has a sizeable lead over opposition parties. A new anti-government party, We Begin, founded in reaction to the systemic failures that allegedly led to the 2023 Tempi train disaster, is polling at just under 10% and represents a significant risk to New Democracy. The political system has become more fragmented, with many small parties at risk of failing to pass the 3% threshold, while the electoral law grants additional seats to the leading party. We don't currently see a major risk of anti-system forces coming to power, but the outlook could shift before next year's elections.

Long-term prospects

We expect Greek potential growth to slow considerably in the coming decades, although it will remain above the significant contraction recorded in the 2010s ([Chart 6](#)).

Chart 5: Demographics will severely limit potential growth



Sources: Oxford Economics, Haver Analytics

Growth will be almost entirely dependent on increases in productivity, which is still recovering after contracting in the 2010s. The advent of AI has recently led us to raise our long-term forecast for Greek productivity, although we don't expect the country to be among those receiving the biggest boost.

The capital stock will contribute positively as the Greek economy remains severely underinvested, despite significant progress in recent years. NextGenEU poses an upside risk to our forecast if it structurally enhances the investment environment beyond the programme's end.

Human capital will contribute positively to growth due to expected increases in average years spent in education by the working-age population. The figure is in line with that of other Eurozone and advanced economies, so we don't anticipate a significant upside risk.

The demographic drag will severely limit potential growth – more so than in other Eurozone economies. The steady rise in the participation rate embedded in our forecast will somewhat cushion the impact of the declining working-age population. However, abysmally low fertility rates and the legacy of the 2010s exodus will remain a heavy burden on potential growth.

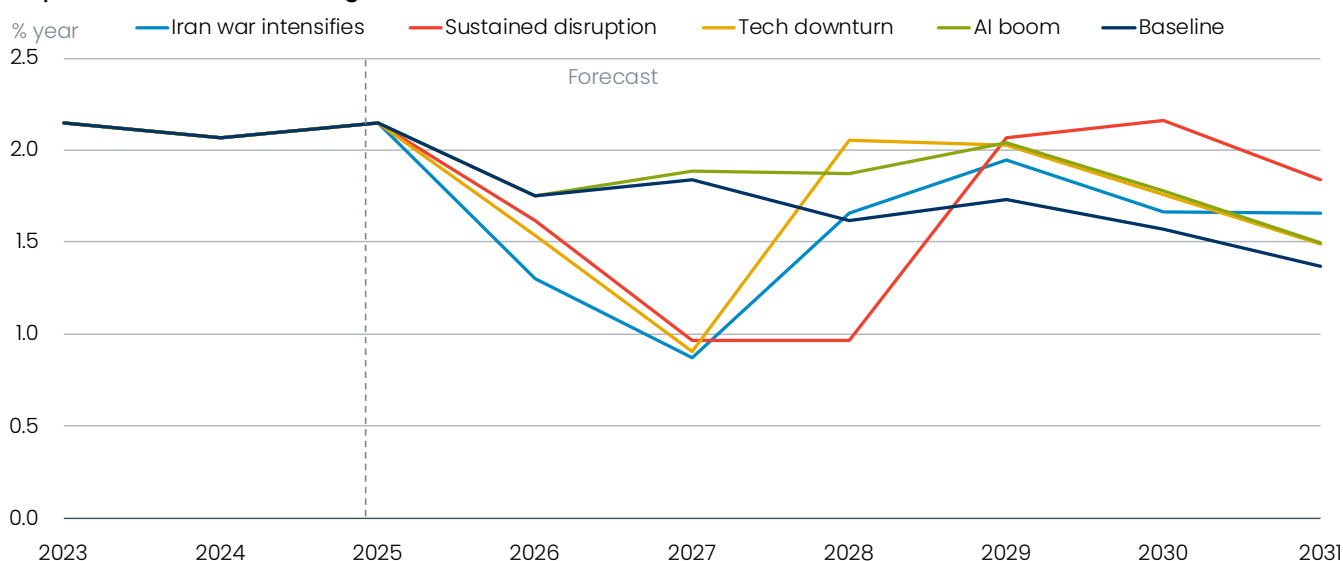
Scenarios

Exposure to key global risks

Iran war intensifies. In this scenario, the war rumbles on for longer than in our baseline forecast. A sustained stalemate leads to the Strait of Hormuz remaining effectively closed for six months. Alternative shipping routes also come under threat, while the extended conflict increases damage to energy infrastructure. As a result, energy prices remain elevated for much longer than in our baseline. Energy shortages damage activity, with some household spending delayed due to disruption to travel and shipping. Supply-chain pressures outside the energy sector result in broader price and cost pressures. Although inflation expectations remain relatively well-anchored, investors demand a higher inflation risk premium, causing borrowing costs to rise. Over the next three years, Greece's GDP growth is 0.5ppts a year below our baseline forecast in this scenario ([Chart 7](#)).

Chart 6: A more severe trade war and a tech downturn are key near-term risks

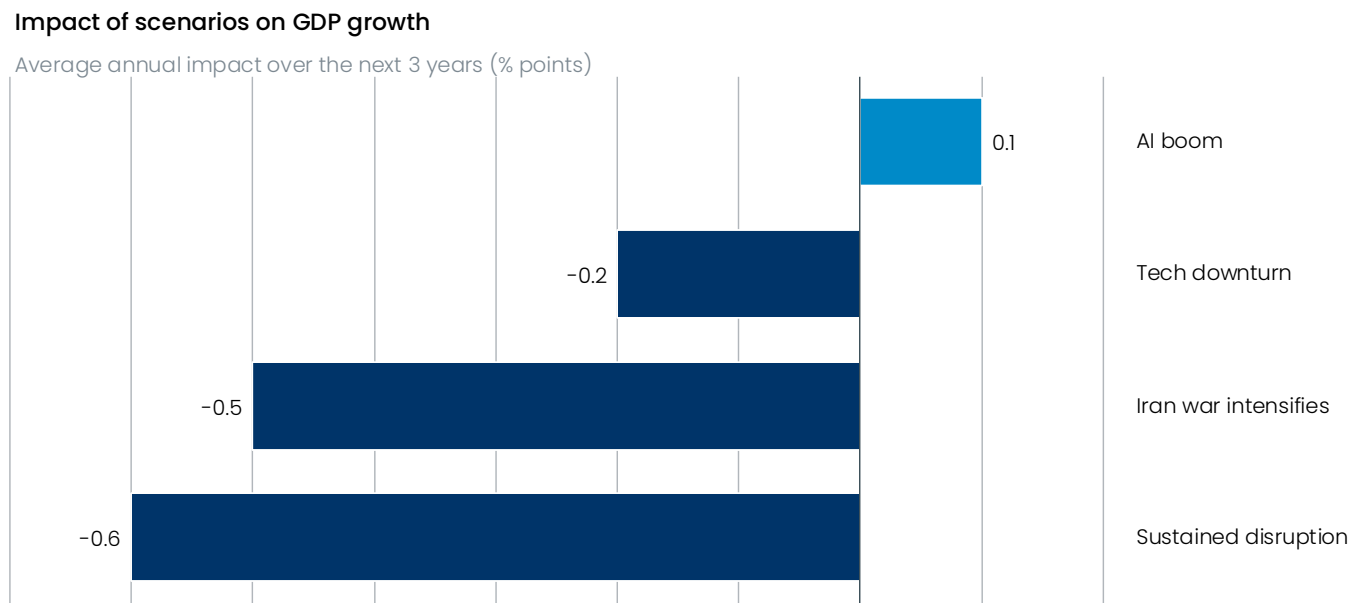
Impact of scenarios on GDP growth



Source: Oxford Economics

Tech downturn. The AI boom turns to bust in this scenario, with global growth slowing sharply under the weight of falling stock prices and investment. In financial markets, concerns rise over tech-sector valuations. US tech stocks fall by 25% in the first year of the scenario as a result. US growth grinds to a halt during 2026, despite increased Fed policy easing, as the recent surge in US capital expenditure abruptly ends. Falls in tech investment echo the weakness seen following the bursting of the dotcom bubble. US weakness spills over globally. The main impacts on Greece come via worsening sentiment and a weaker US dollar. Over the next three years, Greece's GDP growth is 0.2ppts a year below our baseline forecast in this scenario ([Chart 7](#)).

Chart 7: Risks are skewed to the downside



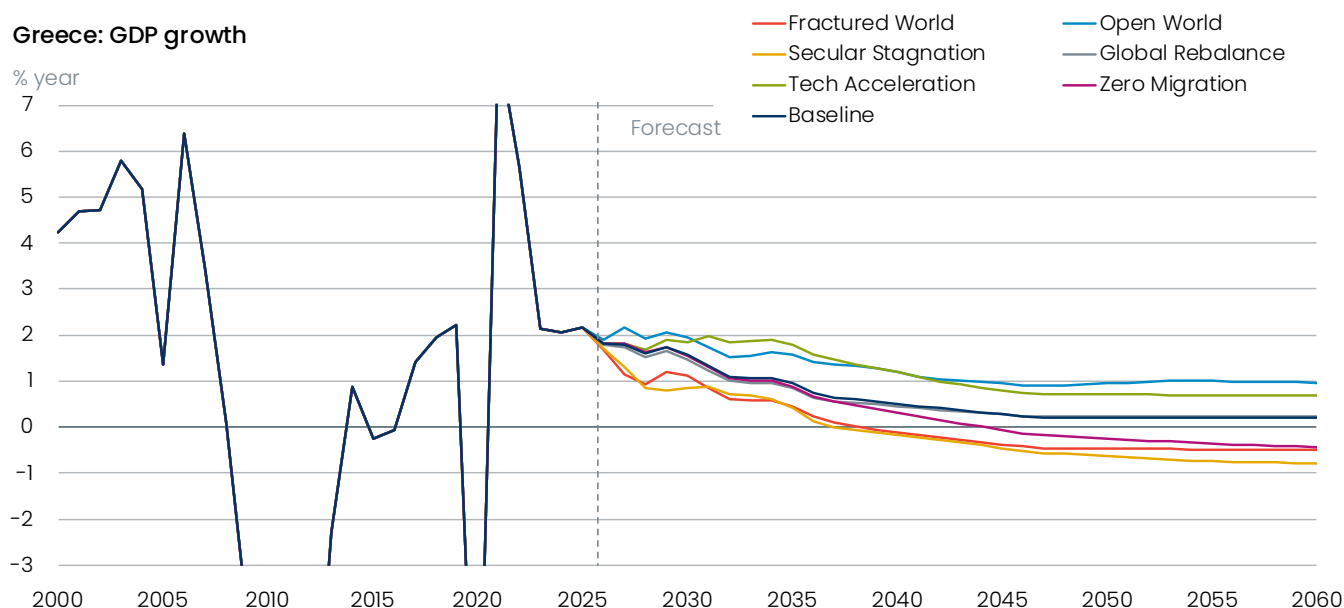
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run paths to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Technological acceleration. In this scenario, the successful deployment of new technologies, including AI, lifts economic growth through higher productivity and faster innovation. Countries at the technological frontier – mostly advanced economies – benefit first. Productivity gains result in GDP growing 1.1ppt a year more than in our baseline between 2030 and 2060. Nominal and real interest rates would also be higher.

Chart 8: Globalisation and technological progress are the main scenario drivers



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in our baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound the impact on potential output, while poor productivity limits real wage growth and labour participation. Greece's GDP grows 0.8ppts below our baseline each year, coupled with lower real rates.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	4.5	0.2	50
Market demand	5.0	0.0	56
Market cost	4.0	0.0	40
Exchange rate	3.3	1.2	46
Sovereign credit	4.1	-0.1	61
Trade credit	6.0	0.0	33

Source: Oxford Economics

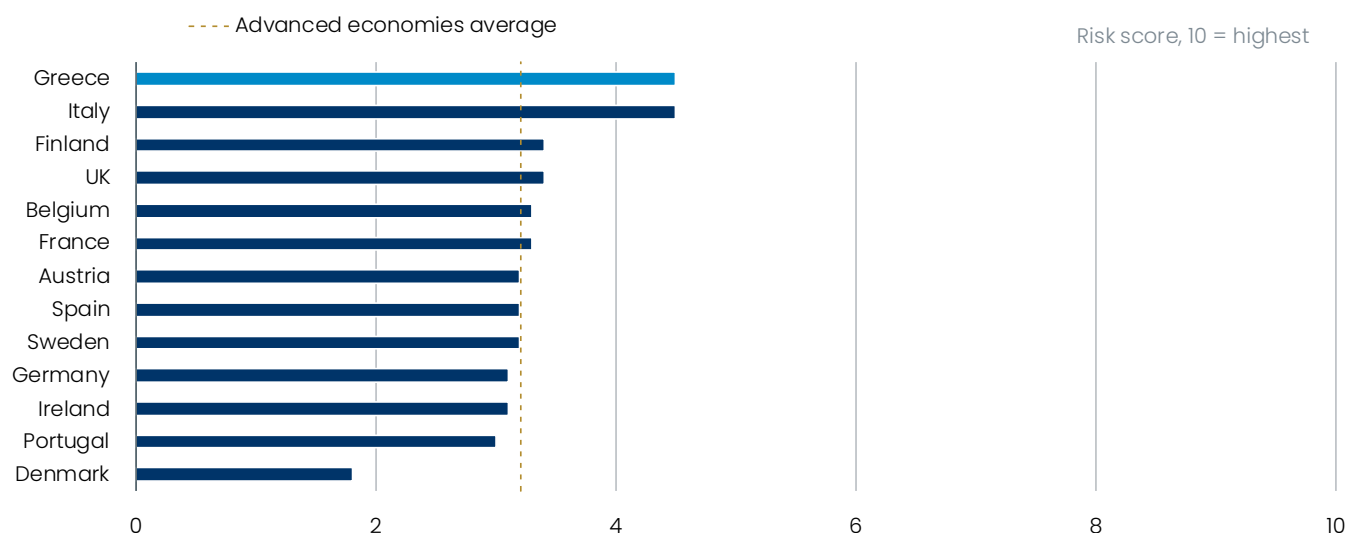
Overall risk for Greece: 4.5/10*

Greece's overall economic risk score of 4.5 is slightly higher than six months ago. It's one of the highest scores among the advanced economies, ranking Greece 46th of 164 countries in our survey.

The post-pandemic recovery has been swift and solid, outpacing that of the Eurozone, with Greece consistently among the top performers in the bloc, despite recording sizeable fiscal surpluses and rapid falls in government debt. Domestic demand has been the greatest contributor to growth, also thanks to inflows from the NextGenEU programme. Greece still has a long way to go, as GDP per capita remains significantly below the pre-2007 high, but according to our expectations, it should exceed that level by the end of the decade.

Chart 9: Greece's risk score is above the Western European average

Economic risk: Greece vs Advanced economies average



Source: Oxford Economics

Market demand: 5.0/10

The demand risk score is the same as six months ago at 5.0, well above the Western European average of 3.3.

This reflects Greece's high level of government debt and the fact that its GDP per capita remains among the lowest in the Eurozone. But solid growth and steadily falling government debt will set the stage for this indicator to improve.

Market cost: 4.0/10

The market cost risk score is 4.0, well above the regional average of 2.8.

Earnings in nominal terms recorded a new all-time high in 2025, but in real terms, they haven't recovered since the 2022 inflationary crisis. We expect inflationary pressures to return in the coming quarters, in line with Greece's Eurozone peers.

Exchange rate: 3.3/10

Under our new methodology, exchange rate risk is at 3.3, in line with that of other Eurozone countries.

The euro bounced strongly in response to US tariffs and policymaking news, reaching as high as \$1.20. The move likely overstates the underlying strength of the currency, partly reflecting safe-haven flows given the near-term uncertainty over the US outlook. The quick bounce of the US dollar after positive tariff news supports this view. Over the longer term, we expect fading structural and cyclical headwinds to support the euro.

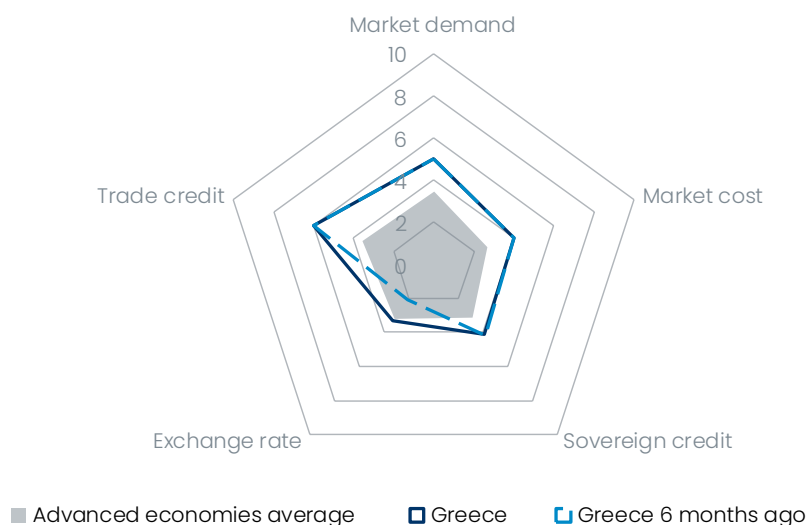
Sovereign credit: 4.1/10

The sovereign credit risk score is 4.1. The high government debt level is still a risk, but the authorities are targeting an ambitious cut to the debt-to-GDP ratio.

Greek sovereign debt was restructured as part of the second adjustment programme in 2011. Most government debt is now owed to official creditors, including the International Monetary Fund, the European Stability Mechanism, and European governments. With little maturing debt to roll over, Greece's sovereign debt in private hands remains limited. Debt-easing measures in June 2018 reduced Greece's refinancing needs for the next few years. Since then, its debt profile has remained stable, and the country regained investment-grade status in 2023-2024, reflecting improved fiscal credibility and stronger growth prospects, supported by EU recovery funds.

Chart 10: Greece's overall risk is still elevated compared with that of other Eurozone countries

Economic risk: Greece vs Advanced economies average



Source: Oxford Economics

Trade credit: 6.0/10

Trade credit risk – a measure of private-sector repayment risk – is still elevated by regional standards at 6.0. Greek banks have continued to reduce their non-performing loans (NPLs), with the system-wide NPL ratio falling to 3.6% by Q3 2025 from around 30% at the end of 2020. The decline was driven mainly by securitisations under the Hercules/HAPS asset-protection scheme. However, Greece's NPL burden remains a structural issue because a large stock of distressed debt now sits outside bank balance sheets, and the Bank of Greece says further measures are needed beyond Hercules. Recent policy priorities include a central credit register and broader reforms to accelerate debt resolution and loan recovery

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).